

b. Avalanche Method

(Focuses on Interest Rate)

As part of the “avalanche method,” the loan with the highest interest rate is paid off first.

As you pay off the higher-interest debt, you put the money toward the next highest-interest account, and so on, until you are done. The avalanche method assumes that loans are paid off with the highest interest rate rather than the lowest balance. This approach is more effective in the long run because the borrower can pay off the highest interest rate loans first, while lower interest rate loans remain outstanding for longer. This means that the total amount of interest that the borrower pays will be significantly reduced.

